APPRAISAL REPORT

Parkview Residences | Atlanta, GA

Subject Property	Parkview Residences
Address	5157 Pioneer Court, Atlanta, GA 18065
Property Rights Appraised	Fee Simple
Effective Date of Value	February 9, 2021
Market Value Conclusion	$11,450,000

Supply and Demand

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors. Parkview Residences is located in Atlanta, GA, a market that has recorded 4.0% population growth over the last five years. Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 7.00% and 7.00%. The Atlanta Multifamily market has experienced absorption of 2500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Market vacancy for comparable Multifamily product stands at 9.7%, down from 4.0% two years ago. Rent growth in the submarket has averaged 4.1% annually over the past 7 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 8-mile radius of the property is approximately $360,000 and has grown 7.5% annually. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 8 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 9.9 acres and is generally level with frontage along Pioneer Court. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 42 curb cuts and the property is served by municipal water and sanitary sewer.

Market Overview

The Atlanta Multifamily market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 5.38% and 5.38%. Median household income within a 6-mile radius of the property is approximately $368,000 and has grown 2.5% annually. Parkview Residences is located in Atlanta, GA, a market that has recorded 4.8% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 7.4%, down from 5.8% two years ago.

Parkview Residences is located in Atlanta, GA, a market that has recorded 9.8% population growth over the last five years. The Atlanta Multifamily market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 8-mile radius of the property is approximately $382,000 and has grown 4.0% annually. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

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Supply and Demand

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The Atlanta Multifamily market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 6-mile radius of the property is approximately $102,000 and has grown 9.6% annually. Employment growth is led by healthcare, logistics, education and professional services sectors.

Rent growth in the submarket has averaged 4.6% annually over the past 6 years. Parkview Residences is located in Atlanta, GA, a market that has recorded 8.6% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Atlanta Multifamily market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 2-mile radius of the property is approximately $239,000 and has grown 5.9% annually.

Topography and Flood Zone

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 24.24 acres and is generally level with frontage along Pioneer Court. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 17 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 21.21 acres and is generally level with frontage along Pioneer Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 7 curb cuts and the property is served by municipal water and sanitary sewer.

Market Overview

Parkview Residences is located in Atlanta, GA, a market that has recorded 8.1% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The Atlanta Multifamily market has experienced absorption of 3700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Resident turnover has averaged 8.4% annually with renewal retention above 91.1%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Rent growth in the submarket has averaged 5.7% annually over the past 5 years. Median household income within a 1-mile radius of the property is approximately $68,000 and has grown 14.0% annually. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 7.43% and 7.43%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 16.16 acres and is generally level with frontage along Pioneer Court.

The site contains approximately 26.26 acres and is generally level with frontage along Pioneer Court. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 21 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

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Construction Details

Common area interiors have been refreshed within the last 4 years and are in average to good condition. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 9 years and are in average to good condition. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Parkview Residences was originally constructed in 2018 and consists of 72 apartment homes in a building of 16 stories. Resident turnover has averaged 12.6% annually with renewal retention above 96.4%.

Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 30-year membrane system with an estimated remaining useful life of 7 years. Parkview Residences was originally constructed in 2018 and consists of 72 apartment homes in a building of 22 stories. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 6 years and are in average to good condition.

Construction Details

The roof is a 31-year membrane system with an estimated remaining useful life of 8 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Parkview Residences was originally constructed in 2018 and consists of 72 apartment homes in a building of 23 stories.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 42-year membrane system with an estimated remaining useful life of 8 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Newport Villas	St. Louis, MO	07/27/2022	75	$14,611,461	$202,937	5.26%	1981
Vista Residences	Raleigh, NC	11/12/2025	73	$12,450,437	$172,923	6.40%	1993
Bayview Commons	Nashville, TN	12/25/2025	85	$13,470,862	$187,095	5.47%	1992
Jasper Flats	Albuquerque, NM	03/19/2026	53	$6,583,398	$91,436	5.77%	1967
Driftwood Lofts	Salt Lake City, UT	02/24/2024	96	$15,198,149	$211,085	8.14%	2017
Timberline Commons	San Diego, CA	11/06/2025	65	$5,451,073	$75,709	7.36%	1979
Highland Terrace	Atlanta, GA	10/01/2024	55	$10,590,496	$147,090	6.23%	2015
Gatewood Flats	Albuquerque, NM	01/01/2026	91	$7,250,463	$100,701	7.25%	2002
Upland Lofts	Newark, NJ	02/16/2024	55	$10,546,175	$146,475	8.09%	1986
Ivy Villas	Boston, MA	08/14/2026	71	$8,492,571	$117,952	7.39%	1979
Bluestone Flats	Jacksonville, FL	09/06/2024	80	$15,642,443	$217,256	5.75%	1980
Newport Lofts	Raleigh, NC	07/31/2026	84	$16,005,479	$222,298	5.85%	1975
Zephyr Terrace	Albany, NY	06/21/2025	55	$8,778,486	$121,923	5.28%	2009
Tidewater Terrace	Albuquerque, NM	07/16/2026	82	$15,032,603	$208,786	5.07%	2007
Thornton Apartments	Chicago, IL	01/01/2026	45	$9,073,095	$126,015	6.41%	1968
Crestline Villas	Orlando, FL	07/20/2024	108	$9,031,278	$125,434	5.91%	2019
Falcon Flats	Naperville, IL	09/15/2022	45	$10,439,654	$144,995	5.57%	2001
Willow Villas	Denver, CO	10/10/2025	76	$6,187,430	$85,937	5.50%	2003
Fairmont Residences	San Antonio, TX	01/21/2023	75	$15,358,670	$213,315	5.16%	1996
Onyx Commons	Nashville, TN	08/12/2022	42	$7,253,536	$100,744	5.08%	2020
Beacon Residences	Seattle, WA	08/09/2026	79	$9,500,122	$131,946	7.04%	1997
Orchard Terrace	New Orleans, LA	01/26/2022	46	$5,165,686	$71,746	7.58%	1979
Cypress Apartments	Las Vegas, NV	03/11/2022	85	$13,236,389	$183,839	6.07%	1987
Wexford Villas	Denver, CO	12/11/2025	61	$10,837,258	$150,517	5.27%	2004
Redwood Commons	Houston, TX	03/30/2024	54	$13,512,841	$187,678	5.25%	2023
Westgate Residences	Omaha, NE	07/29/2023	86	$11,351,489	$157,660	7.66%	2006
Summit Apartments	Nashville, TN	03/20/2023	40	$7,242,374	$100,589	7.80%	1967
Kestrel Villas	Buffalo, NY	03/10/2026	76	$12,425,054	$172,570	7.50%	1987
Laurel Villas	San Antonio, TX	09/16/2022	71	$15,033,965	$208,805	5.78%	2010
Upland Apartments	Chicago, IL	08/24/2025	43	$10,333,957	$143,527	8.18%	1989
Cobalt Commons	Baltimore, MD	03/18/2024	55	$8,633,578	$119,911	5.84%	2000
Quarry Terrace	Cincinnati, OH	04/25/2025	100	$10,327,636	$143,439	7.74%	2016
Ridgeline Apartments	Minneapolis, MN	09/03/2022	77	$11,341,136	$157,516	7.98%	1977
Westgate Commons	Oklahoma City, OK	04/15/2024	93	$5,554,893	$77,151	7.63%	2023
Birchwood Lofts	Tampa, FL	01/14/2022	107	$15,441,746	$214,469	5.12%	1983
Dunmore Flats	Las Vegas, NV	02/14/2026	96	$11,916,111	$165,502	6.03%	1987
Kestrel Flats	Portland, OR	07/04/2022	103	$11,318,596	$157,203	6.12%	1988
Lakeshore Apartments	Milwaukee, WI	02/23/2026	38	$9,974,375	$138,533	6.53%	1991
Zephyr Villas	Jacksonville, FL	07/03/2025	50	$8,376,243	$116,337	5.97%	1969
Everett Apartments	Greenville, SC	01/21/2025	79	$5,127,020	$71,209	6.49%	2004

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Valuation Discussion

The going-in capitalization rate of 5.27% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $186,000 or approximately 44.28 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Resident turnover has averaged 4.6% annually with renewal retention above 91.2%. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Operating expenses totaled $148,000 or approximately 46.05 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.67% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.16% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Resident turnover has averaged 7.1% annually with renewal retention above 96.4%. Effective gross income for the trailing period was $48,000, representing a 2.3% increase over the prior year. Operating expenses totaled $452,000 or approximately 14.90 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Operating Performance

Effective gross income for the trailing period was $283,000, representing a 2.5% increase over the prior year. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.89% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Meridian Flats	1.0 mi	1974	Inline	$2,148.97	97.5%	$500
Raven Apartments	4.2 mi	2002	1BR	$2,394.81	94.5%	None
Vista Flats	3.2 mi	1984	Studio	$2,087.66	90.8%	$500
Bluestone Lofts	2.3 mi	2006	Suite	$2,319.02	94.3%	None
Nautilus Residences	1.1 mi	2007	2BR	$2,499.38	95.4%	None
Highland Apartments	0.8 mi	1990	1BR	$1,901.74	91.8%	$500
Mesa Residences	0.6 mi	1990	Suite	$2,235.94	94.9%	$500
Pinecrest Villas	2.5 mi	2003	Bay	$1,891.93	94.1%	None
Sterling Lofts	0.3 mi	1979	Bay	$2,515.42	94.0%	None
Sterling Flats	4.6 mi	1972	Suite	$2,367.96	90.7%	None
Highland Residences	3.4 mi	1985	Suite	$2,553.21	96.6%	None
Driftwood Flats	0.2 mi	1971	1BR	$2,536.97	91.2%	None
Lockwood Flats	1.6 mi	1970	2BR	$2,487.58	92.6%	None
Crestline Lofts	4.5 mi	2003	Unit	$2,143.31	97.3%	None
Redwood Villas	4.5 mi	2015	Unit	$2,503.77	93.7%	None
Dunmore Commons	1.1 mi	1987	Inline	$2,593.11	90.7%	$500
Mesa Commons	0.6 mi	2007	1BR	$1,921.69	91.3%	$500
Cedar Commons	2.3 mi	1974	1BR	$2,282.51	86.8%	None
Dunmore Villas	0.2 mi	1983	1BR	$2,044.57	92.5%	None
Highland Villas	1.3 mi	1971	Bay	$1,999.32	90.4%	None
Fairmont Flats	0.2 mi	1983	1BR	$2,137.77	96.4%	None
Quincy Villas	3.3 mi	2005	Suite	$2,458.05	92.3%	None
Timberline Flats	1.3 mi	1992	Bay	$2,473.91	90.5%	1 mo. free
Lantern Terrace	1.5 mi	1989	Bay	$1,910.56	95.5%	$500
Garnet Flats	1.7 mi	2016	1BR	$2,292.76	93.3%	$500
Prairie Lofts	0.7 mi	1987	1BR	$2,088.96	88.7%	1 mo. free
Yarrow Terrace	1.1 mi	2017	Unit	$2,151.20	98.0%	None
Newport Apartments	1.3 mi	2007	Inline	$2,325.96	87.9%	None
Raven Residences	0.8 mi	1994	1BR	$1,879.27	90.1%	None
Aspen Villas	4.0 mi	1973	Bay	$1,954.18	93.7%	$500
Granite Flats	1.9 mi	2001	Inline	$2,579.14	90.0%	None
Laurel Residences	1.0 mi	1989	2BR	$2,009.49	96.7%	$500
Ashford Apartments	2.3 mi	1987	2BR	$1,960.06	86.4%	$500
Thornton Terrace	3.8 mi	1986	Suite	$2,086.78	92.0%	None
Canyon Apartments	4.6 mi	2023	Studio	$2,543.12	95.2%	None
Fairmont Commons	2.2 mi	2015	Bay	$2,417.62	96.1%	1 mo. free
Garnet Terrace	3.4 mi	2014	Studio	$2,322.08	86.1%	None
Upland Commons	1.2 mi	2005	2BR	$2,367.00	92.5%	$500
Willow Villas	1.8 mi	1997	Unit	$1,934.33	92.3%	$500
Kingsley Lofts	2.4 mi	1971	Suite	$2,267.95	87.8%	None
Laurel Residences	4.0 mi	1976	Inline	$2,223.75	94.9%	$500

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